

Capital Inflows and Fund Economics

Research report · 9 October 2026 USD 7 million of initial owner capital · Historical and hypothetical fund experiments AI-assisted analysis and writing; tools, scope and responsibility are disclosed in the final section.

Abstract

This study separates a shared investment for seven founders from a business serving external clients. A historical simulation executes the same factor portfolio and 1.25x leverage rules with assumed subscriptions, redemptions and a 5 bp annual fund fee over 3 October 2014-3 October 2024. Its steady-acquisition unit return is **10.73% annually**. Fee financing also changes portfolio signals and historical performance without outside clients. In that scenario, full receipt of external fees generates approximately **USD 47,000** against **USD 455,000** of modelled business costs. Raising assets therefore does not fund the assumed operation or automatically improve founder wealth. Separate flat, fixed-growth and loss scenarios explore adjustable assumptions. Better borrowing terms from greater scale remain a hypothesis, not a mechanism in these calculations.

1. Research Question and Economic Framework

How much externally owned capital can specified client-acquisition schedules generate, and would external fee receipts cover the assumed business costs? How do returns, redemptions and subscription timing change that answer?

The concept begins with seven founders contributing USD one million each. Initial owner capital is modelled as an aggregate cohort, not seven individual cash-flow ledgers. The portfolio could serve their shared investment purpose without outside subscriptions; operating a fund business for external clients is a separate question.

Four quantities must remain separate. **Owner invested equity** is the owner's fund holding. **External invested equity** belongs to subscribing clients. **Total net fund assets** combine the two invested cohorts. **Manager cash** is held outside the fund and reflects fee receipts less the stated business costs. Assets raised from clients do not become owner wealth, and investment performance does not establish manager profitability.

Additional capital might improve access to financing or negotiated borrowing terms. This is an economic hypothesis: the backtest funding sensitivities vary assumed margins, but do not demonstrate an assets-to-pricing relationship. The historical inflow replay retains the same financing specification as the backtest; subscriptions do not automatically earn a lower margin.

Subscriptions buy units; redemptions return cash to investors. Closing external equity excludes cash already redeemed. Ending fund assets alone therefore cannot rank investor outcomes. Owner fees transferred to an owner-associated manager are internal transfers within the assumed owner group; they are not new externally earned revenue.

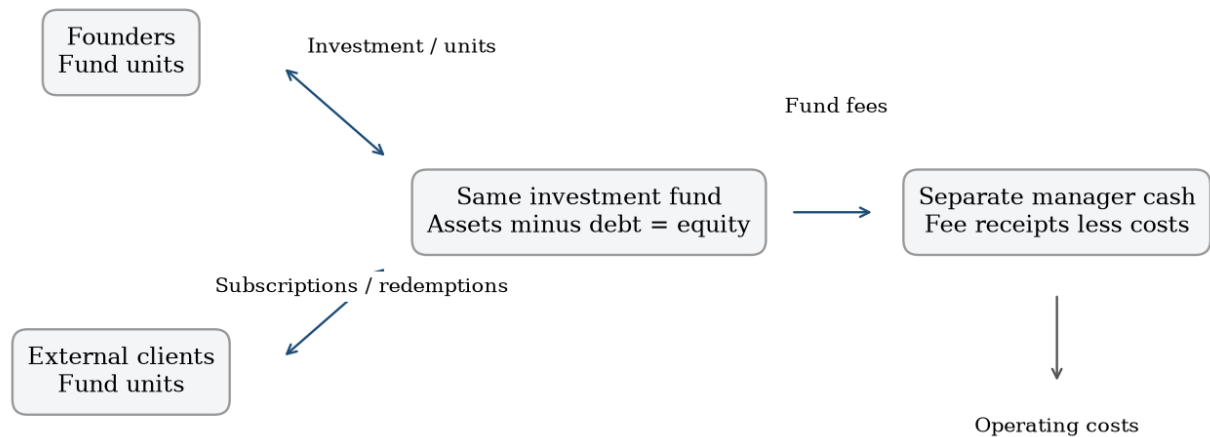


Figure 1. Two investor groups hold units in the same fund. Subscriptions and redemptions change investor holdings; fund fees leave the fund for the separate manager account. Operating costs are paid from manager cash. Owner-fee receipts are internal transfers when the manager belongs to the same owner group. Arrows describe the model, not a licensed or established legal structure. [Account schematic: reader_figures.render](#)

2. Assumptions and Accounting

2.1 Client acquisition and retention

The central ticket is USD 250,000. Client equivalents may be fractional for monthly modelling and may include repeat subscriptions. They are proposed inputs, not signed clients or evidence of a sales funnel. First-year subscriptions begin in month 7 and are distributed over months 7-12. [Client, fee and cost settings: inflow_acquisition.json](#).

Table 1. Acquisition schedules before loss-year cuts · [Client schedules: inflow_acquisition.json](#)

Case	Annual client equivalents: years 1 to 10										Scheduled ten-year gross subscriptions (USD m), before stress cuts
No external flows	0	0	0	0	0	0	0	0	0	0	0.00
Limited demand	0	1	1	2	2	2	2	2	2	2	4.00
Steady acquisition	2	4	6	8	10	12	14	16	18	20	27.50
Strong acquisition	4	8	12	16	20	24	28	32	36	40	55.00
Sales stop / runoff	4	4	0	0	0	0	0	0	0	0	2.00

Ordinary cases use 10% annual external-unit attrition; sales-stop/runoff uses 20%. Each annual fraction becomes a constant equivalent monthly fraction. This is a fraction of existing external units, not the same fraction of annual subscriptions. Newly subscribed units can redeem from the following month. [Client, fee and cost settings: inflow_acquisition.json](#).

The schedules, ticket sizes and retention assumptions are not empirically calibrated. The strong schedule requires 40 new client equivalents in the final year. Contacts, conversion rates, servicing capacity, client tickets and redemption evidence are needed before adopting a commercial plan. [Client, fee and cost settings: inflow_acquisition.json](#).

2.2 Fees and costs

Table 2. Central business assumptions and sensitivities · [Business costs and fees: inflow_acquisition.json](#)

Input	Central discussion assumption
Annual fixed manager cost	USD 25,000 in year 1, rising 2% annually
Setup cost	USD 25,000 paid in month 1
Acquisition spending	0.50% of gross subscriptions
Servicing cost	0.02% annually of opening external assets
Manager receives investor fee	100% centrally; 50% sensitivity
Investor fee	0.05% centrally; 0.10%, 0.25%, 0.50% sensitivities

The investor fee is a charge in the simulation, not a verified total expense ratio or necessarily the amount retained by the manager. Embedded investment-product costs, portfolio trading and financing, the added fund fee and outside-fund business costs are separate layers.

Business costs are paid outside the fund. They reduce manager cash rather than unit NAV. If any of these costs are instead charged to the fund, investor accounts require recalculation. The budget is illustrative, may overlap bundled provider invoices and includes no full-time salary provision. Taxes, unexpected legal costs and borrowing interest on manager deficits are excluded. A funding gap is an additional working-capital requirement, not an automatic withdrawal from the owner's invested capital.

2.3 Three ways of examining investment returns

Calculation	Period and costs	Question answered
Historical portfolio with flows (coupled simulation)	3 Oct 2014-3 Oct 2024; observed investment path, trading, financing and added fund fee; business costs stay outside NAV	How do flows and fees interact with the actual strategy?
Return-path comparison (overlay)	Same historical horizon and added fund fee; the no-flow investment path already includes its trading and financing, but there is no feedback from client trades into holdings or debt	How different is the result if portfolio flow feedback is omitted?
Hypothetical return scenarios	Ten project years; imposed returns after underlying investment costs, before the added fund fee; business costs stay outside NAV	How do assumed returns, acquisition and timing change the accounts?

Historical branch: actual market observations drive the same 60/15/10/15 portfolio, absolute ± 5 -percentage-point bands, separate 1.25x leverage with ± 0.10 adjustments, and investment costs and financing used by the companion backtest. Its horizon is **3 October 2014-3 October 2024**, comprising 120 project months. Fees, client schedules, redemptions and budgets are hypothetical. Acquisition plans and attrition are fixed; they do not adopt the annual-loss demand rule below. [Fund return comparison: historical_inflow_interpretation.compare_accounts](#).

Hypothetical controls: 0% throughout; 6% throughout; -30% in year 1 then 0%; and 6% in years 1-3, -30% in year 4 then 0%. These are nominal returns after underlying investment costs but before the added fund fee, with no actual leveraged-portfolio replay. Annual returns become constant monthly returns through $(1 + \text{annual return})^{(1/12)} - 1$; the monthly fee is deducted separately from opening assets. Losses are therefore smoothed within their year unless the loss-placement control is used. [Client_fee_and_cost_settings: inflow_acquisition.json](#).

In hypothetical acquisition loss years, subscriptions are halved and annual external-unit attrition rises to 30%. This is an imposed concurrent market-and-demand stress rather than a predictive rule. The separate timing experiment holds gross schedules and 10% annually attrition fixed even in loss years, so it answers a different question. None

of these return paths or demand rules is a forecast or worst-case bound. [Client, fee and cost settings: inflow_acquisition.json](#) · [Subscription schedules: inflow_timing.json](#).

2.4 Accounting sequence

In the hypothetical controls, each month applies the investment return and fee to opening assets, then redeems existing external units and issues new units. End-month subscriptions first earn returns and pay fees next month. Owner units stay fixed, with no personal withdrawals. [Monthly unit accounts: inflows.simulate](#).

Closing assets = opening assets + investment P/L - investor fee + subscriptions - redemptions

External-business cash = external fee receipts - fixed costs - acquisition costs - servicing costs - setup costs

The historical execution additionally marks portfolio prices, accrues financing and executes prior investment signals. It charges the fund fee on previous-event net fund equity and adjusts positions for cash flow before forming the next signal. Flow trades preserve the current mixture and use pre-cost exposure rather than resetting target weights. At borrowed exposure, flow-trading expenses are posted to debt; post-cost leverage can drift and change subsequent funding and signals. Exact post-cost leverage preservation is not assumed at commission discontinuities. [Fund units and flows: coupled_inflow_accounting.simulate_coupled](#).

3. No-External-Investor Reference

At the 5bp fee and without external subscriptions, hypothetical owner equity after ten years is USD 6.97 million under 0%, USD 12.47 million under 6%, USD 4.88 million under the early loss, and USD 5.81 million under the later loss. Under a fixed return path, external subscriptions do not change owner unit performance. This invariance is not imposed on the historical coupled portfolio, where fees and flow trades can alter later investment accounts.

[Client, fee and cost settings: inflow_acquisition.json](#) · [Acquisition accounts: inflow_scenarios.acquisition](#).

A commercial operation with zero external clients still incurs the assumed business costs. The founders could instead pursue a shared investment arrangement, but its applicable costs and governance would need a separate assessment. The no-external-investor cases here retain the stated business budgets; they are not a newly calculated lean founders-only arrangement. Appendix B includes the historical no-flow/no-added-fund-fee control; ordinary investment trading and financing costs remain in it.

4. Historical Portfolio and Fund Results

4.1 Fund fees and client-plan feedback

The historical results use the ± 5 -percentage-point portfolio and separate leverage management. They are not calculated by inserting the full-period backtest CAGR as a constant monthly return. The full investment backtest continues to August 2026, whereas the business experiment ends in October 2024. Horizon, the added fund fee and flow feedback make the headline return measures different.

The **return-path comparison (overlay)** applies the no-flow portfolio's dated return path to cohorts without executing subscriptions, redemptions or fee financing through the holdings and debt account. Its unit return is invariant across plans at a fixed fee schedule. The simulated fund unit return can vary because client transactions and fee financing change subsequent portfolio holdings and debt.

Table 3. Steady acquisition: coupled execution and overlay · [Fund return comparison:](#)[historical_inflow_interpretation.compare_accounts](#)

Rule	Fund unit return / year	Return-path comparison / year	External investor MWR / year
Absolute / separate leverage	10.73%	11.08%	12.71%

For the main strategy, the steady-acquisition fund unit return differs from the overlay by -0.35 pp. This is the combined effect of fee/debt/signal feedback and the client plan. It is not an isolated customer-flow effect. Direct flow-trading charges are USD 111,423; Table 4 shows that a substantial return difference already exists without customers. The capped-relative comparison is retained in Appendix B. [Fund return comparison:](#) [historical_inflow_interpretation.compare_accounts](#).

Table 4. Separating fund-fee feedback from the client plan · [Fee and account bridge: inflow_fee_diagnostics.summaries](#)

Account / comparison	Ending founder equity, USD m	Unit return / year
Investment control, no added fund fee	20.122	11.13%
Overlay with fund fee, no portfolio feedback	20.022	11.08%
Executed fund with fee, no external clients	19.599	10.84%
Executed fund with fee, steady acquisition	19.408	10.73%

All four comparisons use the same USD 7 million opening owner capital and 3 October 2014-3 October 2024 window. The executed accounts retain the same weights, absolute sleeve bands, leverage target, financing and trading rules. Returns use unrounded values and elapsed calendar years; owner units remain fixed. Manager cash and outside-fund business costs are excluded from these invested-equity amounts.

Without external customers, the executed fee-paying account falls below the overlay by **-0.24 pp per year**. Adding the steady client plan changes annual unit return by another **-0.11 pp**. The no-client comparison accounts for **69%** of the total coupled-minus-overlay return gap. This chained arithmetic comparison separates existing account outcomes; it is not an order-independent causal attribution of all interacting mechanisms.

Table 5. Accounting for the fee-paying no-client wealth shortfall, USD · [Fee and account bridge:](#)[inflow_fee_diagnostics.summaries](#)

Fee no-client account minus no-fee control	Effect on ending equity, USD
Change in investment price P/L	-635,460
Financing-cost saving	+172,097
Additional trading costs	-3,179
Added fund fees	-56,881
Total wealth difference	-523,423

This signed identity explains the ending-equity difference between the fee-paying no-client account and the no-added-fee investment control. The investment-price P/L difference reflects the positions actually held on their different paths. Lower financing costs partly offset that lost investment P/L. The fee charge, financing difference and transaction costs are separate ledger components; they must not be counted again inside the price P/L component.

Table 6. Existing intervention records with and without the fund fee · [Fee and account bridge:](#)[inflow fee diagnostics summaries](#)

Post-entry intervention	No fund fee	5 bp fee, no clients
Sleeve reset	2020-09-03	2020-09-03
First leverage adjustment	2021-04-09	2021-04-16
Additional leverage reduction	None	2022-10-03

In the borrowed fund, the added fee is posted to debt. It reduces net equity and can change the next portfolio signal even without subscriptions or redemptions. On 30 September 2022, leverage is **1.3519x** with the fee, versus **1.3439x** without it. Only the fee-paying case breaches the 1.35x upper adjustment boundary and executes the signalled reduction on 3 October 2022. The earlier leverage increase also occurs on a different date. These deterministic threshold responses explain why a small fee can have a larger historical effect than a fixed-return deduction. The example establishes sensitivity in this ten-year fund window, not a probability of future loss or a measured fee effect on the longer full-sample backtest.

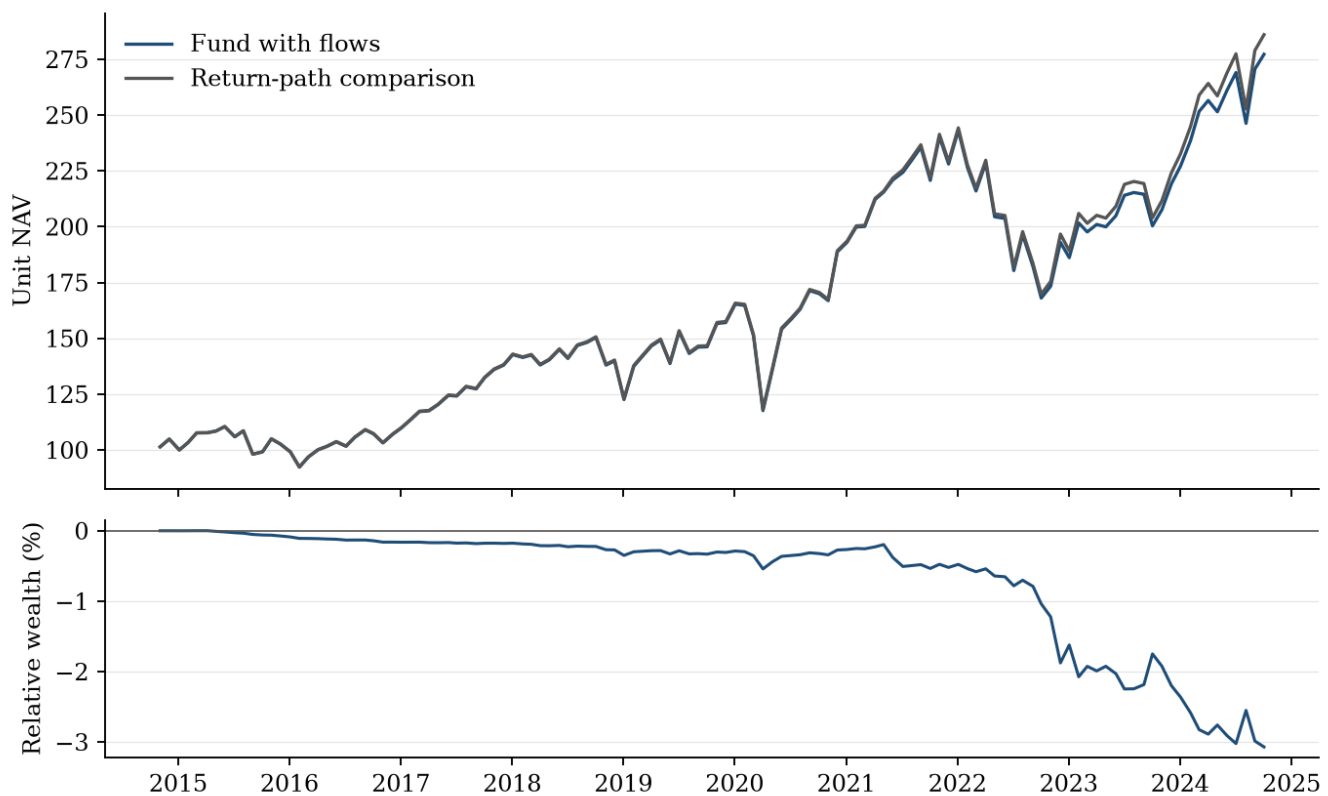


Figure 2. Historical fund unit performance under steady acquisition and the return-path comparison. The lower panel shows $100 \times (\text{coupled unit NAV} / \text{overlay unit NAV} - 1)$, showing combined fee/signal and client-plan feedback. This relative wealth difference is not the annualised return gap or an isolated customer-flow effect. Both paths include the added fee; investment observations are historical, while client schedules are assumed. [Reader charts from recorded evidence: reader_figures.render](#)

4.2 Ownership and cash already returned to investors

Table 7. Main strategy: historical acquisition outcomes, USD million · [Fund units and flows:](#)

[coupled_inflow_accounting.simulate_coupled](#)

Acquisition plan	Owner invested equity, USD m	External closing equity, USD m	Total net fund assets, USD m	Cumulative redemptions, USD m
No external flows	19.60	0.00	19.60	0.00
Limited demand	19.57	4.29	23.86	1.70
Steady acquisition	19.41	29.43	48.84	10.00
Strong acquisition	19.38	58.84	78.22	20.00

The founder investment closes at **USD 19.60 million without external flows**, versus **USD 19.41 million with steady acquisition**. Under the unchanged financing terms, larger fund assets therefore do not automatically improve the founders' invested equity. These values exclude the separate manager account. The large asset totals include client-owned capital. Owner invested equity excludes outside manager cash and personal withdrawals. Redemptions are cash returned to investors and are excluded from closing external equity; they are not automatically destroyed wealth.

Fund-unit TWR measures the compounded unit performance. Aggregate external MWR also accounts for when clients subscribe and redeem. Subscriptions are negative investor cash flows; redemptions and terminal external equity are positive. Historical MWR uses the actual transaction dates; Appendix B records its annualisation and root-search conventions. The external-investor window begins at the first subscription and differs from the full fund window. No-investor MWR is unavailable, never zero. [Dated investor return: historical_inflow_diagnostics.dated_mwr.](#)

4.3 Manager cash and working capital

Table 8. Main strategy, steady acquisition: historical manager accounts, USD · [Manager cash:](#)

[historical_inflow_diagnostics.manager_accounts](#)

Receipt	External receipts, USD	Costs, USD	External-business cash, USD	External peak gap, USD	Cash including owner fees, USD
100.00%	47,181	455,115	-407,935	407,935	-351,320
50.00%	23,590	455,115	-431,525	431,525	-403,218

At full fee receipt, external receipts are USD 47,181 against USD 455,115 of business costs. Peak external-business funding need is USD 407,935. Including conditional owner-fee receipts changes manager treasury but does not create external profit; these fees are already deducted from owner invested equity. [Manager cash:](#)

[historical_inflow_diagnostics.manager_accounts.](#)

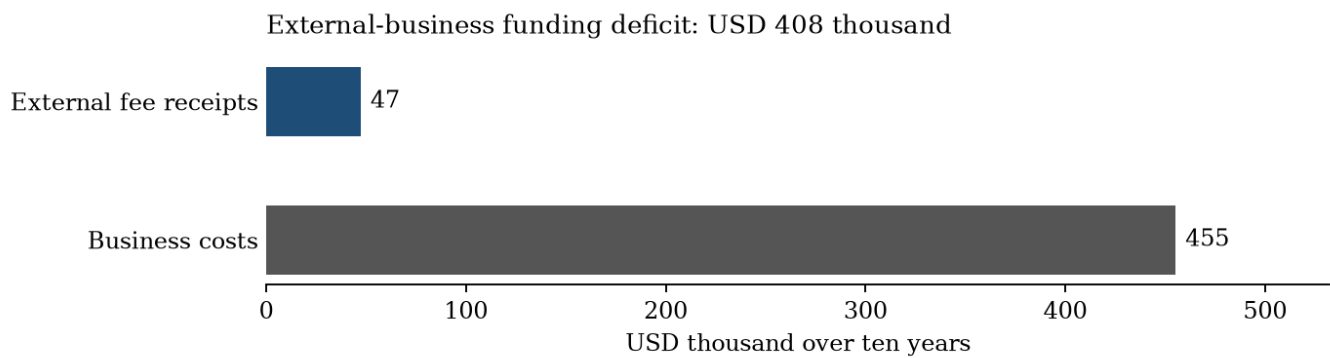


Figure 3. Historical steady-acquisition scenario at the 5 bp investor fee and full manager receipt: external fee receipts versus modelled outside-fund business costs over ten years. Their difference is an approximately USD 408,000 funding deficit. Owner-fee transfers are excluded from the external revenue bar. [Fee and cost chart: reader_figures.render](#)

Across the retained historical grid, 48 of 48 manager labels have negative terminal external-business cash. The labels include repeated no-flow economics and controls, so this is not a count of independent observations or a probability of failure. The result challenges the assumed fee-and-cost combination, not every possible fund business. [Manager cash: historical_inflow_diagnostics.manager_accounts](#).

Historical conditional treasury applies the same receipt fraction to owner and external fees, assuming monthly availability. The hypothetical treasury sensitivity in Appendix A has its own full owner-fee receipt convention. Neither establishes actual bank-account funding without settlement and contract terms. Peak gaps are measured at month-end; intramonth needs are excluded.

5. Hypothetical Scenarios and Sensitivities

5.1 Raising assets does not establish profitable operations

Table 9. Acquisition under the hypothetical 6% path · [Acquisition accounts: inflow_scenarios.acquisition](#)

Case	Owner equity, year 10 (USD m)	External equity, year 10 (USD m)	Cumulative manager cash, ten years (USD)
No external flows	12.47	0.00	-298,743
Limited demand	12.47	3.33	-314,480
Steady acquisition	12.47	23.49	-410,903
Strong acquisition	12.47	46.98	-523,063
Sales stop / runoff	12.47	0.47	-305,940

Steady acquisition generates USD 27.50 million gross subscriptions and USD 42,233 cumulative external fees over ten years. Its peak business funding gap is USD 410,903; the strong schedule's gap is USD 523,063. Acquisition spending occurs on subscriptions, while a low annual fee is earned over the time capital remains invested. More clients can therefore increase working-capital needs under this cost structure. [Acquisition accounts: inflow_scenarios.acquisition](#).

A simple illustration explains the pressure: a USD 250,000 subscription incurs **USD 1,250** at the assumed 0.5% acquisition charge, while the 5 bp annual fee yields only **USD 125 per year** on a constant USD 250,000 balance, before servicing and fixed costs. The simulation additionally incorporates changing balances, redemptions and receipt terms; this illustration is not a payback forecast.

5.2 The fee rate and the amount actually received

Table 10. Steady acquisition: fee sensitivity under 6% · [Fee scenarios: inflow_results.sensitivity_tables](#)

Annual fee	Owner equity, year 10 (USD m)	Manager result, year 10 (USD)	Ten-year manager cash (USD)
0.05%	12.47	-48,474	-410,903
0.10%	12.41	-37,827	-368,749
0.25%	12.23	-6,078	-242,884
0.50%	11.93	46,205	-35,077

Higher fees reduce owner invested wealth. They also improve manager receipts if client counts, redemptions and receipt terms stay fixed; that fixed-demand assumption is not evidence that clients accept the higher charge. A positive final-year manager result does not imply recovery of startup and earlier losses.

At 50bp, the USD 35,077 closing deficit follows a USD 136,920 peak deficit in month 70. Working capital must cover the lowest balance on the path rather than only the final year. The conditional owner-transfer comparison is shown in Appendix A. [Sensitivity settings: inflow_controls.json](#) · [Loss timing: inflow_controls.loss_controls](#).

At the baseline fee and servicing assumptions, full receipt leaves 3bp of external assets for fixed and acquisition costs; 50% receipt leaves 0.5bp. The full sensitivity materials also vary tickets, receipt fractions and fixed/acquisition/servicing budgets. These adjustable inputs are not provider quotes or approved fee terms. [Net fee arithmetic: inflow_report.prose_claims](#) · [Client, fee and cost settings: inflow_acquisition.json](#).

5.3 Equal gross subscriptions at different times

A controlled experiment distributes USD 27.5 million of gross subscriptions across five schedules: constant monthly, linearly increasing monthly, even tranches, early tranches and late tranches. Subscriptions begin no earlier than month 7. This matches gross fundraising rather than net flows or closing assets. [Subscription schedules: inflow_timing.json](#) · [Client, fee and cost settings: inflow_acquisition.json](#).

Table 11. Selected timing cases under 6% · [Subscription timing: inflow_scenarios.timing](#)

Timing case	Total fund assets, year 10 (USD m)	Cumulative external redemptions (USD m)	Ten-year external fees (USD)
Constant monthly	34.64	11.83	56,139
Early steps	31.84	18.05	85,635
Late steps	37.04	6.51	30,867

Earlier cohorts pay fees for longer and face more redemption attrition. Later subscriptions can leave more assets in the fund at the endpoint while providing less earlier fee income. Cash already redeemed remains an investor outcome, so higher closing AUM does not by itself establish higher investor wealth. Owner invested equity is USD 12.47 million in all these fixed-return cases. [Acquisition accounts: inflow_scenarios.acquisition](#).

For the later-loss path, 6% in years 1-3, -30% in year 4, then 0%, unit TWR is identical across timing schedules while external MWR differs. Appendix B shows representative return measures. Late subscriptions avoid much of the stipulated loss, but clients cannot infer future loss dates from this retrospective illustration. [Client, fee and cost settings: inflow_acquisition.json](#).

Moving the same net annual loss into different individual months changes the subscription cohorts exposed to it. The early-tranche terminal-asset range is USD 836,556 despite unchanged annual net unit performance. Appendix B retains selected ranges. Smoothing losses across a year therefore suppresses a material timing sensitivity; these deterministic placements are not probabilities or worst-case limits. [Loss timing: inflow_controls.loss_controls](#).

6. Discussion and Conclusion

The study separates investment outcomes from fundraising and business economics. A large part of the coupled-minus-overlay investment-return gap already arises without external customers: fee financing changes portfolio signals and holdings. Customer acquisition adds further interactions. The historical fee effect therefore cannot be represented solely by subtracting the quoted annual fee from an unchanged investment path. The historical branch executes the actual strategy with assumed investor flows and an added fund fee; the hypothetical branches isolate adjustable return, demand and timing assumptions. Their horizons and accounting should remain distinct.

External subscriptions can enlarge fund assets without becoming owner wealth. At the assumed low fee and the stated costs, the retained historical manager accounts require additional working capital. Strong fundraising alone does not resolve that shortfall. Fee retention, acquisition spending and servicing costs must be discussed together.

These commercial results do not by themselves reject the founders' shared investment purpose. External capital could expand that arrangement and might improve financing terms, but neither benefit is established by larger asset totals alone. Investment usefulness, conditional financing economies and manager profitability should therefore be assessed separately.

The next substantive inputs are evidenced client counts, tickets, redemption behaviour, fee-sharing contracts, provider invoices and the source of manager working capital. These would support a recalculation of an explicit business design. Historical investment performance cannot supply missing commercial evidence or executable credit terms. Personal withdrawals, tax, inflation and retirement sufficiency require a separate owner-wealth analysis.

The companion portfolio backtest presents investment performance, the MSCI World benchmark and brief Dimensional and Amundi comparisons. It contains no investor subscriptions or outside-fund manager revenue.

Sources and Data

Fund identities: Core IE00B4L5Y983; Momentum IE00BP3QZ825; Quality IE00BP3QZ601; Value IE00BP3QZB59.

Market data and financing series

NAV observations and reference rates enter the calculations. Their sample dates are specified in the analysis. Provider links identify the funds and series; the supplied local files are the calculation inputs.

Source	Publisher	Use in this report
Core MSCI World NAV	BlackRock / iShares	Core accumulating USD NAV; investment returns
Momentum NAV	BlackRock / iShares	Momentum accumulating USD NAV; investment returns
Quality NAV	BlackRock / iShares	Quality accumulating USD NAV; investment returns
Value NAV	BlackRock / iShares	Value accumulating USD NAV; investment returns
Indicative reference rate	Federal Reserve Bank of New York	Early indicative financing reference series
Official SOFR	Federal Reserve Bank of New York	Later official financing reference series

Cost, product and methodology references

These sources support the stated assumptions, product descriptions and checks. They are distinguished from time-series inputs.

Source	Publisher	Use in this report
Commission tariff	Swissquote	Current CHF commission schedule for the investment cost model
Investor-side stamp duty	Swiss Federal Tax Administration	Basis for the modelled 0.15% investor-side duty
Commission FX conversion	ECB / Official Journal	31 August 2026 reference cross-rate; CHF commission conversion only
Fund fee and expense terminology	Investor.gov / U.S. SEC	Background on fund fees and expenses; business assumptions are author-defined

Original files and download records are retained with the reproducibility materials. Fund-business assumptions about client acquisition, redemptions, fees and budgets are author-defined scenarios rather than observed fundraising data.

Reproducibility Materials

The blue links open the responsible function or configuration on GitHub. [The calculation map](#) identifies exact rows, fields and generated evidence paths. Code links use fixed snapshots. The prepared code and separately supplied original investment data reconstruct both historical and hypothetical accounts. Complete monthly ledgers, return-search records, additional sensitivities and source-cell bindings remain in the accompanying calculation materials. Provider originals stay local.

Appendix A. Hypothetical Scenario Overview

Table A1. Closing total fund assets under all twenty acquisition combinations, USD million · [Acquisition accounts: inflow_scenarios.acquisition](#)

Flow case	Flat 0%	Fixed 6%	Early loss	Later loss	
No external flows		6.97	12.47	4.88	5.81
Limited demand		9.66	15.80	7.57	8.26
Steady acquisition		26.67	35.96	24.47	24.35
Strong acquisition		46.37	59.45	44.07	42.89
Sales stop / runoff		7.24	12.94	5.08	6.00

Columns distinguish Flat 0%, Fixed 6%, early loss and later loss. Acquisition loss cases include halved subscriptions and higher attrition. These totals include owner capital and external equity; they are not consolidated investor wealth or probabilities.

Table A2. External-business funding and conditional owner-fee receipts, USD · [Funding gaps: inflow_treasury.treasury_controls](#)

Annual fee	Closing cash, external fees only (USD)	Peak deficit, external fees only (USD)	Closing cash, including owner fees (USD)	Peak deficit, including owner fees (USD)
0.05%	-410,903	410,903	-363,643	363,643
0.10%	-368,749	368,749	-274,485	274,485
0.25%	-242,884	242,884	-9,124	64,201
0.50%	-35,077	136,920	426,190	24,167

The hypothetical illustration assumes 100% internal owner-fee receipt at monthly accrual, no redistribution to owners, tax or settlement delay. These internal transfers are already deducted from invested owner equity and must not be counted twice as consolidated wealth.

Appendix B. Return and Timing Controls

Table B1. Aggregate external investor returns under the hypothetical later loss · [Investor returns: inflow_returns.external_investor_returns](#)

Timing case	Annualised unit TWR	Annualised aggregate external MWR
Constant monthly	-1.85%	-2.06%
Early steps	-1.85%	-2.99%
Late steps	-1.85%	-0.05%

Hypothetical MWR solves equal-month cash-flow IRR and annualises over twelve months. It is not dated transaction XIRR or an individual client's return. Timing schedules and 10% annual unit attrition stay fixed in these loss cases, unlike the acquisition demand stress. [Cash-flow IRR: inflow_returns.money_weighted_return](#).

Table B2. Within-year loss placement with matched annual net unit performance · [Loss timing: inflow_controls.loss_controls](#)

Loss-placement control	Minimum ending total assets (USD)	Maximum ending total assets (USD)	Range (USD)
Steady acquisition	24,288,551	24,410,974	122,423
Constant monthly	22,062,275	22,462,487	400,213
Early steps	16,008,422	16,844,978	836,556

The loss is concentrated into each possible month while preserving the same net annual unit multiplier. With monthly fee f and smooth return r , the matched multiplier is $G = (1 + r - f)^{12}$; the single gross shock is $G / (1 - f)^{11} - 1 + f$. Subscriptions and each layer's redemption convention remain fixed within the control. Ranges use unrounded endpoints and do not bound actual markets. [Loss timing: inflow_controls.loss_controls](#).

Table B3. Historical no-flow/no-added-fund-fee controls · [Historical controls: historical_inflow_replay.calculate_replays](#)

Rule	Owner ending equity, USD m	Added fund fee, USD	Investment trading cost, USD	Financing, USD
Absolute / separate leverage	20.12	0.00	26,158	1,417,943
Capped-relative comparison	19.49	0.00	28,032	1,234,045

The controls retain ordinary investment entry, trading and financing costs. They reconcile to the investment paths over the shorter business horizon. No external cohort is invested, so external MWR is unavailable.

Table B4. Steady acquisition: retained capped-relative comparison · [Existing comparison cells: historical_inflow_interpretation.compare_accounts](#)

Rule	Fund unit return / year	Return-path comparison / year	External investor MWR / year
Capped-relative comparison	10.61%	10.73%	12.59%

Historical MWR annualises actual dated cash flows using elapsed days divided by 365.2425. One root found by a finite scan does not establish global uniqueness or detection of every tangency. These implementation qualifications differ from the equal-month IRR convention used by hypothetical controls.

AI Assistance and Responsibility

Tools, scope and author contribution

OpenAI Codex (OpenAI, n.d.) assisted method development, programming, data processing, portfolio and fund simulations, statistics, interpretation and documentation. AI-generated or substantially revised wording appears throughout both abstracts, main texts, source commentary and appendices. Tables and figures were produced through AI-assisted code. Alex supplied the materials, specified and approved principal design choices, selected comparisons and reviewed drafts; the author retains responsibility for the content.

During the October 2026 revision, Alex also supplied a **Claude (Anthropic, n.d.)** review of the reports. Its methodological, wording and layout suggestions were evaluated against project evidence and informed this revision. Claude was not the original calculation engine. Its model/version has not been established.

List of aids (Hilfsmittelverzeichnis)

Tool	Purpose and affected material
OpenAI Codex	Methodology, code, data processing, calculations, statistics, interpretation, wording throughout both reports, tables, figures and documentation
Claude	Author-supplied critical review informing the revised interpretation, wording and presentation of both reports
Python, NumPy, pandas, openpyxl and Matplotlib	Calculation implementation, spreadsheet inputs, tables and charts
pytest	Automated calculation and report checks
pypdf, pdfplumber, ReportLab, Pillow, PDFium and Poppler	Source-PDF extraction, report generation and text, link and visual checks

Verification and retained records

Checks covered accounting identities, reference comparisons, separate implementations, numerical bindings, text and layout. They assess implementation under the stated inputs; they do not constitute independent human expert review. Provider sources retain their attribution.

The AI-use record documents assistance and verification limits. Selected prompts, passages from the supplied Claude review and working records are retained privately. No complete chronological prompt/output or historical model-version archive has been established. References identify applications; assessment-specific documentation remains the author's responsibility.

Application references

OpenAI. (n.d.). *Codex* [Generative AI coding assistant]. Application reference.

Anthropic. (n.d.). *Claude* [Generative AI assistant; author-supplied review]. Application reference.

This declaration concerns Alex's research contribution. It does not attribute unverified AI use to other group members or future video narration.